



IT IS NOT easy to dominate an industry and yet be agile enough to capitalise on new trends in customer demand. Maruti Suzuki India Ltd (MSIL), the country's largest car manufacturer, has managed to do just that, pouncing on new opportunities while ramping up its distribution network.

The carmaker's efforts have borne fruit, as evidenced by Maruti Suzuki's jump in the BT500 ranking of India's most valuable companies by market capitalisation. In the 2024 list, the company has risen four spots to No. 14 from No. 18 in 2023. Between October 2023 and September 2024, the study period for the annual BT500 list, the company's market capitalisation grew 32.1% year-on-year (YoY) to ₹3.63 lakh crore. Its total income rose about 21% YoY in 2023-24 to ₹1.45 lakh crore, while profit after tax jumped 62% YoY to ₹13,488 crore.

Maruti has managed to hold on to its leadership position by jumping on the SUV (sports utility vehicle) bandwagon and increasing its offerings across powertrains as it seeks to consolidate its leadership position.

Besides, it has also segmented its customers through its Arena and Nexa dealerships to better cater to varied customer tastes. "By segmenting customers based on premium and market preferences, Maruti has maximised customer acquisition. Nexa attracts higher-income, urban customers, while Arena appeals to the value-focussed, semi-urban demographic. Together, they account for over 80% of Maruti's distribution network," notes Harshvardhan Sharma, analyst at think tank Nomura Research Institute. Between 2017 and 2024, the company added approximately 3,069 Arena outlets and over 500 Nexa showrooms across India.

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A STRONG PORTFOLIO

- ▶ In FY24, Maruti Suzuki sold 2.14 million units, with the WagonR recording the highest sales at 200,177 units
- ▶ At present, SUVs account for more than 27% of Maruti Suzuki's sales, sedans make up 10% and hatchbacks contribute 31%
- ▶ The company plans to increase production capacity to 4 million vehicles by 2030